

Executive Synthesis

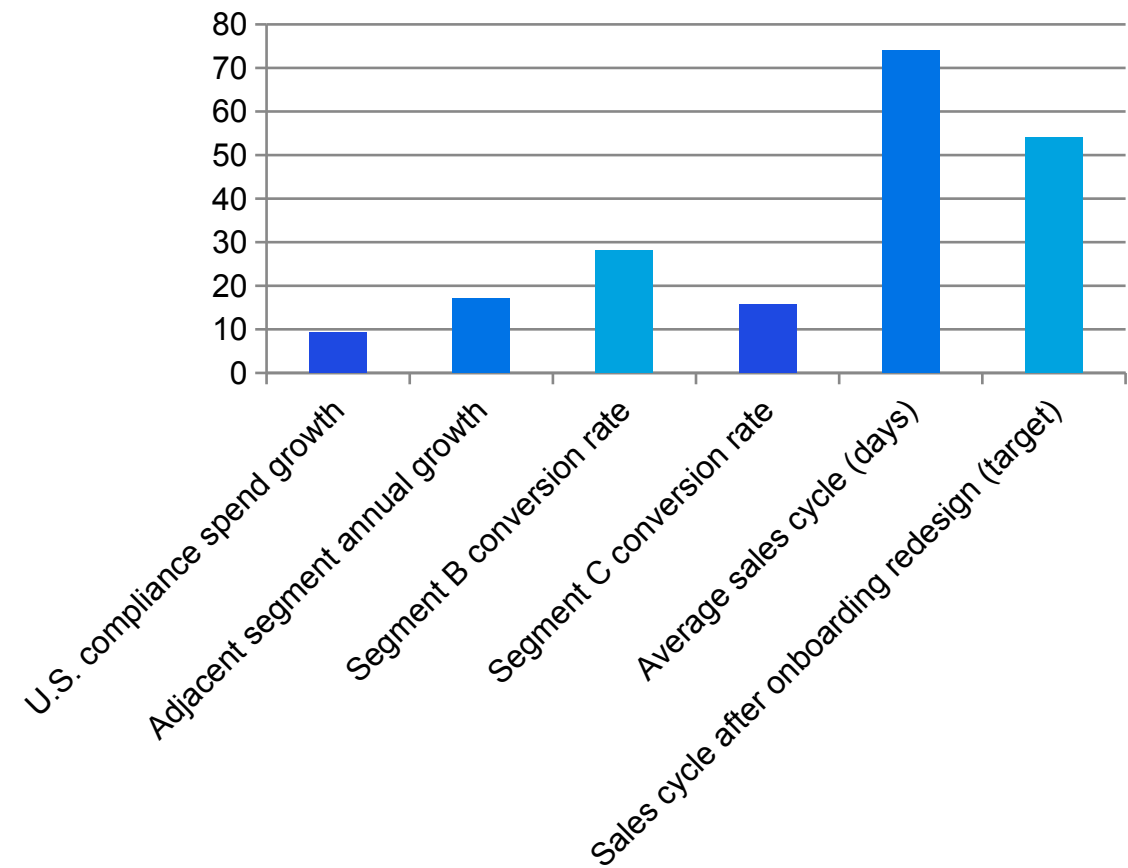
Outcome: Expansion into compliance mid-market and regulated SMB can add \$44-61M ARR over 24 mon

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- Core segment growth decelerated from 22% to 11% YoY while CAC payback stretched from 14 to 18 m
- Segment B win-rate is 1.8x Segment C at current positioning and shows 31% lower onboarding fail
- Primary bottleneck is onboarding throughput, not demand generation; implementation queue is now
- Recommendation: sequence Segment B first, complete onboarding redesign in Q3, then open Segment
- Decision required this quarter: approve \$6.2M enablement envelope tied to milestone gates.

Market And Conversion Signals

U.S. compliance spend growth: 9.4

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- Adjacent segment annual growth: 17.0
- Segment B conversion rate: 28.0
- Segment C conversion rate: 15.6



Unit Economics And Capacity Baseline

Metric	FY23	TTM Jun-24	Target FY26
Pipeline coverage (x)	2.4	2.1	2.8
Net revenue retention (%)	113	118	120
CAC payback (months)	14	18	13
Gross margin (%)	74.2	76.1	78.0
Onboarding cycle time (days)	68	61	45

SWOT Assessment

Strength: Enterprise retention remains 118% with low logo churn and stable gross margin mi

Weakness: Time-to-value averages 61 days, 2.2x peer benchmark, driven by integration hando

Strategic implication: win the next phase through onboarding speed and implementation cert

Opportunity: Mid-market compliance vertical is growing 17% annually with low incumbent dep

Threat: Competitors bundle implementation services at discounted rates to compress sales c

Option Tradeoff

Broad expansion

- highest ARR upside but elevated execution risk and diluted focus.
- lowest risk but insufficient growth against board plan.
- Weighted scores: Option A 72, Option B 84, Option C 63.

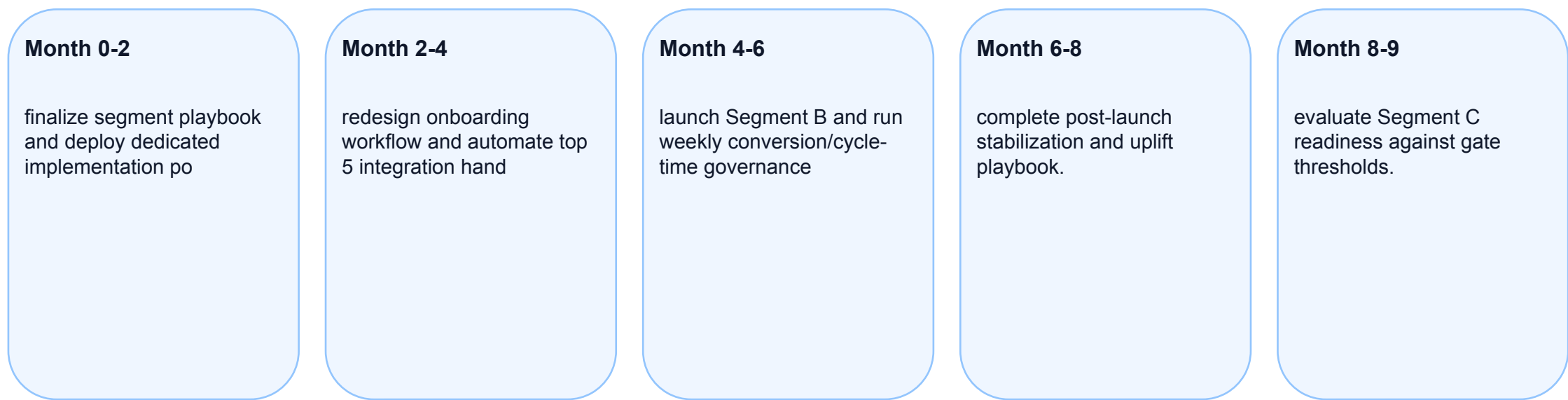
Phased expansion

- balanced ARR upside with strongest control on payback and delivery risk.
- Criteria weighting: growth potential (35), execution risk (30), payback speed (20), strategic fit (15).

Decision Gates And Milestones

Milestone gate	Timing	KPI threshold	Owner
Segment B pilot readiness	Month 2	Onboarding SLA < 55 days	COO
Segment B launch gate	Month 4	Conversion >= 24%	CRO
Segment C readiness gate	Month 7	CAC payback <= 15 months	CFO
Segment C launch decision	Month 9	NRR >= 117% and queue < 2 weeks	CEO

Implementation Timeline



Top Risks And Mitigations

- onboarding queue overload could delay booked ARR realization by one quarter.
- segment mix drift may compress gross margin if discounting discipline weakens.
- implementation staffing gaps could increase delivery failure rate above tolerance.
- enforce queue threshold triggers with contingency staffing pool.
- implement pricing guardrails and executive discount approvals.
- establish weekly delivery QA and integration defect triage cadence.